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2. Financial Calendar

2.1 Fiscal Year

The company's fiscal year runs from January 1 to December 31. All financial reporting, budgeting, and planning activities are aligned to this calendar year.

2.2 Reporting Deadlines

Monthly management accounts must be finalized within ten business days of month-end. Quarterly reports must be submitted to the Board within fifteen business days. The annual report must be filed within ninety days of fiscal year-end.

2.3 Budget Cycle

The annual budget cycle commences in September. Departmental budgets must be submitted to Finance by November 1st for Board approval before December 31st.

3. Monthly Financial Reporting

3.1 Report Components

Monthly financial reports must include revenue, expenses, EBITDA, cash flow statement, accounts receivable aging, and a variance analysis comparing actuals to budget. Each component should be presented for the current month and year-to-date.

3.2 Revenue Section

Revenue must be broken down by business unit, product line, and geography. Deferred revenue and adjustments must be separately disclosed with explanatory notes.

3.3 Variance Analysis

Variance analysis must explain all material differences between actual results and the approved budget.

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5. Financial Systems

5.1 Enterprise Resource Planning

The company uses SAP for its enterprise resource planning and financial reporting. All financial transactions must be recorded in SAP within two business days of occurrence. Employees requiring access must submit an access request to Finance Systems.

5.2 Data Visualization

Tableau is used for data visualization and executive dashboards. Tableau is connected to the SAP data warehouse and refreshes on a nightly basis.

5.3 Expense Management

All employee expense claims must be submitted through the Concur expense management system.

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7. Capital Expenditure Policy

7.1 Definition

Capital expenditure (CapEx) refers to funds used to acquire, upgrade, or maintain physical assets that will provide benefit for more than one year.

7.2 Approval Thresholds

Capital expenditures above \$10,000 require VP approval; those above \$50,000 require CFO approval; and those above \$250,000 require Board approval. All CapEx requests must be submitted using the Capital Expenditure Request Form.

7.3 Business Case Requirement

All CapEx requests above \$10,000 must be accompanied by a business case including projected return on investment, payback period, and alternatives considered.

8. Budget Management

8.1 Variance Reporting

Budget variances exceeding 5% or \$5,000 (whichever is greater) must be reported to the department head with a written explanation within five business days of month-end close. The explanation must include the root cause, corrective actions planned, and a revised full-year forecast.

8.2 Re-forecasting

Departments are required to submit a revised forecast at the end of Q1, Q2, and Q3.

8.3 Budget Amendments

Formal budget amendments above \$100,000 require CFO approval.

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10. Expense Reimbursement

10.1 Submission Requirements

Expense reports must be submitted within 30 days of incurring the expense, along with original receipts for any expenditure over \$25. Late submissions may result in the expense not being reimbursed.

10.2 Eligible Expenses

The company will reimburse reasonable and necessary business expenses including travel, accommodation, meals during business travel, and client entertainment.

10.3 Non-Reimbursable Expenses

Personal expenses, alcohol (unless part of approved client entertainment), and parking fines are not reimbursable without prior VP approval.

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12. Accounts Payable and Vendor Management

12.1 Standard Payment Terms

Standard vendor payment terms are Net 30 from invoice receipt. Early payment discounts may be negotiated for Net 10 or Net 15 terms. All deviations from standard payment terms must be approved by the CFO in writing.

12.2 Invoice Processing

All invoices must be matched to an approved purchase order before payment. Invoices without a valid purchase order number will be returned to the vendor.

12.3 Vendor Onboarding

New vendors must complete the Vendor Registration Form and pass compliance checks before any purchase orders can be issued.

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14. Vendor Dispute Resolution

14.1 Escalation Process

Unresolved vendor disputes should first be escalated to the Procurement Manager, then to Legal if unresolved within 30 days, and finally to the CFO if legal negotiation fails.

14.2 Dispute Documentation

All vendor disputes must be documented in writing, including the nature of the dispute, amounts in question, communications to date, and proposed resolution.

14.3 Payment Withholding

Payment for disputed invoices may be withheld pending resolution, provided the vendor has been notified in writing within 10 business days.

15. Audit and Compliance

15.1 Accounting Standards

The company follows Generally Accepted Accounting Principles (GAAP) and undergoes an annual external audit by a certified public accounting firm. Significant departures from GAAP must be disclosed and approved by the Board Audit Committee.

15.2 External Audit

The external auditor is appointed annually by the Board. All finance staff must cooperate fully and provide requested documentation within agreed timescales.

15.3 Internal Audit

The Internal Audit function reports directly to the Audit Committee and conducts periodic reviews of financial controls.

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18. Document Retention and Records Management

18.1 Retention Requirements

Financial records must be retained for a minimum of seven years in accordance with regulatory requirements and the company's document retention policy. This includes general ledger records, accounts payable and receivable records, payroll records, and all financial statements.

18.2 Electronic Records

Electronic financial records must be stored in the company's approved document management system and backed up daily.

18.3 Destruction of Records

Records may only be destroyed after the retention period has expired and with written approval from the Legal and Finance departments.